

to their home town (closer to their families) and settle into their post freedom life there. The post freedom venue may incur lower or higher expenses depending upon the house and city you intend to move to. You may have to manually consider the delta addition/reduction in expenses based on your scenario.

- This amount has a significant impact on the value of the nest egg that you must accumulate to achieve financial freedom.

5. Annual Portfolio Return on investments (post freedom)

- This is the return that you can expect on your nest egg every year once you reach financial freedom
- The Step 2 / Assets sheet already has a RoI calculator embedded in it, which should have provided you with your current annual portfolio RoI. The value to be used here is usually 1-2% higher than the Step 2 / Assets Portfolio RoI (assuming you will become financially wiser by the time you get financially free). If you are not using our recommended Asset sheet, you can also calculate the current ROI manually by giving appropriate weightage to the assets that you have created and the returns from each of them
- This number varies tremendously for each individual depending upon the portfolio asset allocation. We have interacted with freedom seekers who have an annual RoI ranging from 5% to 15%. Even a 1–2% change in portfolio annual RoI can have a significant impact on your nest egg need
- Every year, the returns will keep pushing the nest egg up, while inflation as well as monthly expenses will keep pushing it down. In this fight between return on invested portfolio and "inflation + expenses", the nest egg must survive long enough (till the end of your life)

Before you go further, try and go through all the above inputs needed in your first worksheet (Nest Egg Calculator) once again. Think as to whether you have all the inputs readily available. If not, take a break here and obtain